Statement for the Record
Submitted by Pretty Good Policy for Zcash

Financial Services Subcommittee on Digital Assets, Financial Technology, and Artificial Intelligence
House of Representatives

"Building the Future of Finance: How the CLARITY Act Unlocks Innovation"
Hearing Date: July 17, 2026

Chairman Steil:

We appreciate the opportunity to submit this Statement for the Record in response to the Subcommittee on Digital Assets, Fintech, and AI hearing entitled, "Building the Future of Finance: How the CLARITY Act Unlocks Innovation."

About PGPZ

Pretty Good Policy for Zcash (PGPZ) is a community-oriented effort helping policymakers, regulators, industry stakeholders, and ecosystem partners understand Zcash and advance policy that protects financial privacy.

Zcash is a cryptocurrency and blockchain built to let people send value with strong privacy protections. Like Bitcoin, it has a fixed supply and a decentralized network, but it uses zero-knowledge cryptography so shielded transactions can be verified without publicly revealing the sender, recipient, or amount thereby allowing users to protect their financial privacy through selective disclosure.

The Importance of Explicitly Excluding Non-Custodial Developers from Regulation

We are encouraged by the thoughtful discussion around the importance of the developer protection provisions in the Digital Asset Market Clarity Act (Clarity Act), specifically regarding the Blockchain Regulatory Certainty Act (BRCA). Without these explicit protections, non-custodial blockchain developers will continue to face open-ended liability and the threat of enforcement for operating as unlicensed money transmitters simply for writing code (i.e., providing software tools to users).

By definition, non-custodial developers are not money transmitters.The Bank Secrecy Act[1] defines a "money transmitter" as a person that provides money transmission services, or any

[1] 31 C.F.R. § 1010.100(ff)(5).

other person engaged in the transfer of funds.[2] "Money transmission services" are defined as "the acceptance of currency, funds, or other value that substitutes for currency from one person and the transmission of currency, funds, or other value that substitutes for currency to another location or person by any means."[3] Accordingly, it is inappropriate to treat individuals or entities who write code, publish software, or validate transactions but do not take custody of customer assets as money transmitters because they are not accepting funds or digital assets, nor are they sending those funds to another location or person. The developers are merely providing tools for users. For example, if a company develops a non-custodial digital wallet where users add funds to the wallet and send them to another location, the company is not receiving the funds or digital assets to hold on the user's behalf nor does the company have the ability to send those funds to another wallet. The key component of money transmission–the ability to exercise control over the funds–is not present in a user's transaction.

Another way to think about this is to liken non-custodial developers to a GPS app developer. The developer creates the app for users to navigate from one location to another, and the app is a tool that provides directions to the user. Neither the GPS app developer nor the app transports the user or controls the means of transportation. Moreover, the GPS app developer is not privy to the details or purpose of the travel. If someone drives a car, the driver controls the vehicle while the GPS app tells the driver how to get to their destination. If a driver is breaking the law by speeding, driving recklessly, or transporting contraband, the liability rests with the driver; it would be inappropriate to impose any liability on the GPS app developer simply for building an app that provides directions. Similarly, non-custodial developers create software that users operate themselves based on their own prerogatives. Extending money transmitter liability to non-custodial developers and holding them accountable for user conduct would be like charging the GPS app developer for the driver's infractions.

Impact of Preserving Developer Protections

Preserving developer protections in the Clarity Act codifies longstanding policy that the industry has come to rely on, and it helps the United States catch up in global competitiveness to other jurisdictions as it seeks to establish itself as the crypto capital of the world. The Financial Crimes Enforcement Network (FinCEN) published seven years ago its FinCEN 2019 CVC Guidance, in which it states, "In the case of unhosted, single-signature wallets, (a) the value (by definition) is the property of the owner and is stored in a wallet, while (b) the owner interacts with the payment system directly and has total independent control over the value."[4] Further, in its discussion of decentralized applications (DApps), FinCEN acknowledges that "an owner/operator of a DApp may deploy it to perform a wide variety of functions, including acting

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[2] *Id*.
[3] *Id*.
[4] Fin. Crimes Enf't Network, U.S. Dep't of the Treasury, FIN-2019-G001, *Application of FinCEN's Regulations to Certain Business Models Involving Convertible Virtual Currencies* (May 9, 2019), 16, https://www.fincen.gov/system/files/2019-05/FinCEN%20CVC%20Guidance%20FINAL.pdf.

as an unincorporated organization, such as a software agency to provide financial services," and that "they are not controlled by a single person or group of persons (that is, they do not have an identifiable administrator)."[5] Thus, the developer protections in the Clarity Act seek only to codify existing policy, rather than create new policy that departs from the spirit of the BSA and its enforcement mechanisms.

Moreover, the European Union and United Arab Emirates (UAE), both leaders in promulgating digital asset regulations to establish themselves as hubs for blockchain companies, have already explicitly recognized non-custodial blockchain developers should be exempt from laws seeking to regulate intermediaries in the Markets in Crypto Assets (MiCA) regulation, stating services provided in a "fully decentralised manner without any intermediary"[6] should not be included in its Crypto Asset Service Provider framework; and the UAE Securities and Commodities Authority Virtual Asset Service Providers Rulebook — Business Regulation Module states that "self-custody (non-custodial wallets) is excluded"[7] from its rules applying to digital wallets. This explicit statutory clarity enables non-custodial developers to innovate without the Sword of Damocles hanging over their head, allowing them to focus on development while also incentivizing them to incorporate and build outside of the United States.

Conclusion

Thus, individuals or entities who write code, publish software, or validate transactions without taking custody of customer assets or acting as traditional intermediaries should not be required to register with the Securities and Exchange Commission or Commodity Futures Trading Commission under the Clarity Act. Explicitly including developer protections in the Act is essential for the United States to leap ahead of other jurisdictions while codifying FinCEN's existing position.

We look forward to engaging with you on this critical issue to protect developers. Please direct any questions or comments to paul@pgpz.org or div@pgpz.org.

Very Truly Yours,

Paul Brigner

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[5] *Id* at 18.
[6] Regulation (EU) 2023/1114 of the European Parliament and of the Council of 31 May 2023 on Markets in Crypto-Assets, and Amending Regulations (EU) No. 1093/2010 and (EU) No. 1095/2010 and Directives 2013/36/EU and (EU) 2019/1937, recitals 22, 83, 2023 O.J. (L 150) 40, 44, 52.
[7] Sec. & Commodities Auth., Virtual Asset Service Providers Rulebook: Business Regulation Module, art. 95 (2023).